NOMURA

Global Markets Research

21 October 2026

NetEase NTES.OQ NTES US

EQUITY: INTERNET & NEW MEDIA

A quiet quarter

Below-consensus revenue on a high base and a weak new title; maintain Buy

3Q26F preview: Muted gaming performance; *Ananta* a potential growth driver in 2027

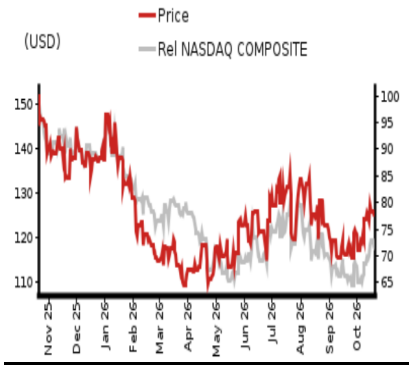
We forecast total revenue grew 4% y-y in 3Q26F, 3% below the latest Bloomberg consensus estimate, reflecting softer online gaming and VAS revenue of CNY24.6bn (+5% y-y/-2% q-q). We attribute the muted gaming performance to a high comparison base for PC *FWJ* and the lackluster performance of *Sea of Remnants*, launched in July.

Despite softer revenue, we expect that non-GAAP operating margin grew 7.8pp y-y to 39% (*Fig. 1*), supported by a 3.4pp improvement in gross margin and continued operating leverage. Non-GAAP operating profit (OP) likely increased 30% y-y to CNY11.6bn. We forecast non-GAAP net profit of CNY10.2bn, 3% below the consensus of CNY10.5bn, largely reflecting a weaker gaming revenue. The more modest net profit outlook relative to operating profit growth partly reflects our assumption of a higher effective tax rate of 20%, vs 13% a year ago, amid a tightening tax environment.

We expect NTES's gaming performance to remain muted in 4Q26F, ahead of the anticipated launch of its highly-anticipated new title, *Ananta*, in January 2027. We lower our FY26F/27F non-GAAP EPS estimates by 4% each to reflect the disappointing performance of *Sea of Remnants*. We maintain our Buy rating with a lower SOTP-based TP of USD155 (from USD157; *Fig. 4*), implying a largely unchanged FY27F P/E of 15x. The stock trades at 12x FY27F P/E.

Rating Remains	**Buy**
Target price Reduced from USD 157.00	**USD 155.00**
Closing price 20 October 2026	**USD 125.11**
Implied upside	**+23.9%**
Market Cap (USD mn)	80,111.7
ADT (USD mn)	85.6

Relative performance chart



Source: LSEG, Nomura

Research Analysts

China Internet & New Media

Jialong Shi - NIHK
Jialong.shi@nomura.com
+852 2252 1409

Rachel Guo - NIHK
rachel.guo@nomura.com
+852 2252 1400

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	112,626	119,999	119,170	128,459	126,285	134,257	131,977
Reported net profit (mn)	33,760	37,859	36,300	44,067	42,101	45,989	44,281
Normalised net profit (mn)	37,344	40,733	39,153	47,149	45,132	49,210	47,448
FD normalised EPS	58.02	63.29	60.83	73.40	70.26	76.76	74.02
FD norm. EPS growth (%)	11.9	9.1	4.8	16.0	15.5	4.6	5.3
FD normalised P/E (x)	15.4	–	14.0	–	12.1	–	11.5
EV/EBITDA (x)	13.5	–	10.2	–	8.8	–	7.4
Price/book (x)	3.5	–	2.9	–	2.5	–	2.2
Dividend yield (%)	2.4	–	2.7	–	3.1	–	3.3
ROE (%)	22.6	21.8	21.0	21.9	21.1	19.9	19.4
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Production Complete: 2026-10-21 08:05 UTC

See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on NetEase

Performance

(%)	1M	3M	12M		
Absolute (USD)	7.7	-6.8	-18.1	M cap (USDmn)	80,111.7
Absolute (USD)	7.7	-6.8	-18.1	Free float (%)	55.6
Rel to NASDAQ COMPOSITE	8.0	-10.4	-33.1	3-mth ADT (USDmn)	85.6

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	105,295	112,626	119,170	126,285	131,977
Cost of goods sold	-38,302	-39,219	-36,943	-38,905	-40,515
Gross profit	66,993	73,406	82,227	87,380	91,462
SG&A	-33,526	-33,924	-34,083	-35,865	-37,085
Employee share expense	-3,883	-3,648	-2,916	-3,094	-3,231
Operating profit	29,584	35,835	45,228	48,420	51,146
EBITDA	32,002	38,082	47,606	50,940	53,779
Depreciation	-2,418	-2,247	-2,378	-2,520	-2,634
Amortisation					
EBIT	29,584	35,835	45,228	48,420	51,146
Net interest expense	4,921	3,953	4,000	4,000	4,000
Associates & JCEs	355	732	-3,000	0	0
Other income	858	311	28	1,087	1,087
Earnings before tax	35,718	40,830	46,256	53,507	56,232
Income tax	-5,461	-6,033	-9,251	-10,701	-11,246
Net profit after tax	30,256	34,798	37,005	42,806	44,986
Minority interests	-559	-1,038	-704	-704	-704
Other items	3,813	3,584	2,852	3,031	3,167
Preferred dividends					
Normalised NPAT	33,511	37,344	39,153	45,132	47,448
Extraordinary items	-3,813	-3,584	-2,852	-3,031	-3,167
Reported NPAT	29,698	33,760	36,300	42,101	44,281
Dividends	-11,879	-13,504	-14,520	-16,841	-17,713
Transfer to reserves	17,819	20,256	21,780	25,261	26,569
Valuations and ratios					
Reported P/E (x)	19.6	17.0	15.1	13.0	12.3
Normalised P/E (x)	17.4	15.4	14.0	12.1	11.5
FD normalised P/E (x)	17.4	15.4	14.0	12.1	11.5
Dividend yield (%)	2.1	2.4	2.7	3.1	3.3
Price/cashflow (x)	14.7	11.3	9.2	22.2	7.9
Price/book (x)	4.2	3.5	2.9	2.5	2.2
EV/EBITDA (x)	16.3	13.5	10.2	8.8	7.4
EV/EBIT (x)	17.6	14.3	10.7	9.2	7.8
Gross margin (%)	63.6	65.2	69.0	69.2	69.3
EBITDA margin (%)	30.4	33.8	39.9	40.3	40.7
EBIT margin (%)	28.1	31.8	38.0	38.3	38.8
Net margin (%)	28.2	30.0	30.5	33.3	33.6
Effective tax rate (%)	15.3	14.8	20.0	20.0	20.0
Dividend payout (%)	40.0	40.0	40.0	40.0	40.0
ROE (%)	22.6	22.6	21.0	21.1	19.4
ROA (pretax %)	19.7	23.5	25.8	28.7	29.4
Growth (%)					
Revenue	1.8	7.0	5.8	6.0	4.5
EBITDA	4.0	19.0	25.0	7.0	5.6
Normalised EPS	3.4	11.9	4.8	15.5	5.3
Normalised FDEPS	3.4	11.9	4.8	15.5	5.3

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	32,002	38,082	47,606	50,940	53,779
Change in working capital	-9,958	-10,374	22,309	-17,815	23,719
Other operating cashflow	17,633	23,031	-10,454	-8,558	-8,816
Cashflow from operations	39,677	50,740	59,461	24,567	68,682
Capital expenditure	-2,206	-2,052	-1,127	-1,195	-1,248
Free cashflow	37,470	48,687	58,334	23,372	67,433
Reduction in investments	25,415	-17,198	-5,000	-5,000	-5,000
Net acquisitions					
Dec in other LT assets	1,011	1,773	0	0	0
Inc in other LT liabilities	-169	112	0	0	0
Adjustments	-6,134	-15,816	5,000	5,000	5,000
CF after investing acts	57,593	17,558	58,334	23,372	67,433
Cash dividends	-11,165	-13,826	-14,012	-15,680	-17,277
Equity issue	0	0	0	0	0
Debt issue	-7,476	-5,799	0	0	0
Convertible debt issue					
Others	-8,688	-917	0	0	0
CF from financial acts	-27,330	-20,541	-14,012	-15,680	-17,277
Net cashflow	30,264	-2,982	44,322	7,692	50,157
Beginning cash	24,206	54,470	51,487	95,809	103,501
Ending cash	54,470	51,487	95,809	103,501	153,658
Ending net debt	-54,470	-51,487	-95,809	-103,501	-153,658

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	54,470	51,487	95,809	103,501	153,658
Marketable securities	75,441	92,639	97,639	102,639	107,639
Accounts receivable	5,669	5,338	5,110	5,962	5,609
Inventories					
Other current assets	17,745	31,151	14,558	33,880	16,741
Total current assets	153,325	180,615	213,116	245,983	283,647
LT investments	0	0	0	0	0
Fixed assets	8,520	8,425	7,175	5,849	4,464
Goodwill					
Other intangible assets					
Other LT assets	34,147	32,374	32,374	32,374	32,374
Total assets	195,992	221,415	252,665	284,206	320,486
Short-term debt					
Accounts payable	721	643	2,474	809	2,610
Other current liabilities	48,947	51,726	55,384	59,407	63,833
Total current liabilities	49,668	52,369	57,857	60,216	66,443
Long-term debt					
Convertible debt	0	0	0	0	0
Other LT liabilities	3,830	3,942	3,942	3,942	3,942
Total liabilities	53,497	56,311	61,799	64,158	70,385
Minority interest	3,809	4,808	5,512	6,216	6,921
Preferred stock					
Common stock	3	3	3	3	3
Retained earnings	118,454	136,251	160,292	186,450	214,926
Proposed dividends	11,879	13,504	14,520	16,841	17,713
Other equity and reserves	8,350	10,538	10,538	10,538	10,538
Total shareholders' equity	138,686	160,296	185,354	213,831	243,180
Total equity & liabilities	195,992	221,415	252,665	284,206	320,486
Liquidity (x)					
Current ratio	3.09	3.45	3.68	4.08	4.27
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (CNY)	45.96	52.45	56.40	65.54	69.08
Norm EPS (CNY)	51.86	58.02	60.83	70.26	74.02
FD norm EPS (CNY)	51.86	58.02	60.83	70.26	74.02
BVPS (CNY)	216.67	251.53	290.85	336.20	383.11
DPS (CNY)	18.56	21.19	22.78	26.48	27.91
Activity (days)					
Days receivable	21.0	17.8	16.0	16.0	16.0
Days inventory	0.0	0.0	0.0	0.0	
Days payable	7.6	6.3	15.4	15.4	15.4
Cash cycle	13.3	11.5	0.6	0.6	0.6

Source: Company data, Nomura estimates

Company profile

NetEase is one of the largest game developers and publishers in China. The company also provides a variety of other services including music streaming, live broadcasting, news service, and education service, among others.

Valuation Methodology

We value the company's online gaming business at US73bn based on 17x FY27F P/E. We value NTES's music business at USD1.4bn based on its latest market cap. The resulting TP is USD155. The benchmark index for the company is Nasdaq Composite.

Risks that may impede the achievement of the target price

Downside risks: 1) bigger margin contraction from incubated business; and 2) lower-than-expected grossing of legacy titles such as FWJ.

ESG

NetEase's business is environment-friendly as it does not cause pollution or generate greenhouse gas.

Fig. 1: NTES – 3Q26F results preview

3Q26F results preview							
CNYmn	**3Q26F**	**2Q26**	**3Q25**	**YoY**	**QoQ**	**Cons.**	**vs Cons.**
Revenues	**29,634**	**30,107**	**28,359**	**4%**	**-2%**	**30,442**	**-3%**
Gross profit	20,006	21,217	18,178	10%	-6%	21,137	-5%
Gross margin	67.5%	70.5%	64.1%	3.4ppt	-3.0ppt	69.4%	-1.9ppt
Non-GAAP op	**11,620**	**12,871**	**8,916**	**30%**	**-10%**	**NA**	**NA**
Non-GAAP op margin	39.2%	42.8%	31.4%	7.8ppt	-3.5ppt	NA	NA
Non-GAAP net profit	**10,180**	**7,747**	**9,502**	**7%**	**31%**	**10,530**	**-3%**
Non-GAAP net margin	34.4%	25.7%	33.5%	0.8ppt	8.6ppt	34.6%	-0.2ppt
Non-GAAP EPADS (CNY)	**15.83**	**12.02**	**14.73**	**7%**	**32%**	**16.18**	**-2%**

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: NTES – Operating metrics review

Segment results					
CNYmn	**3Q26F**	**2Q26**	**3Q25**	**YoY**	**QoQ**
Revenue					
Game and related VAS	24,564	25,023	23,328	5.3%	-1.8%
Youdao	1,629	1,467	1,629	0.0%	11.0%
Cloud Music	2,003	1,977	1,964	2.0%	1.3%
Innovative businesses and others	1,439	1,639	1,439	0.0%	-12.3%
Total net revenue	**29,634**	**30,107**	**28,359**	**4.5%**	**-1.6%**
Gross profit					
Game and related VAS	17,932	19,049	16,176	10.9%	-5.9%
Youdao	749	717	688	8.9%	4.5%
Cloud Music	721	740	695	3.8%	-2.6%
Innovative businesses and others	604	711	619	-2.3%	-15.1%
Total gross profit	**20,006**	**21,217**	**18,178**	**10.1%**	**-5.7%**
Gross profit margin					
Game and related VAS	73.0%	76.1%	69.3%	3.7ppt	-3.1ppt
Youdao	46.0%	48.9%	42.2%	3.8ppt	-2.9ppt
Cloud Music	36.0%	37.4%	35.4%	0.6ppt	-1.4ppt
Innovative businesses and others	42.0%	43.4%	43.0%	-1.0ppt	-1.4ppt
Gross profit margin	**67.5%**	**70.5%**	**64.1%**	**3.4ppt**	**-3.0ppt**

Source: Company data, Nomura estimates

Fig. 3: NTES – Revisions to our earnings estimates

Nomura new estimates vs old						
	FY26F			FY27F		
(CNYmn except for EPS)	**New**	**Old**	**Diff**	**New**	**Old**	**Diff**
Revenue	119,170	119,999	-1%	126,285	128,459	-2%
Gross profit	81,247	83,447	-3%	86,342	89,450	-3%
Gross margin	68.2%	69.5%	-1.4ppt	68.4%	69.6%	-1.3ppt
Non-GAAP operating profit	48,144	50,114	-4%	51,515	54,023	-5%
Non-GAAP op margin	40.4%	41.8%	-1.4ppt	40.8%	42.1%	-1.3ppt
Non-GAAP net profit	39,153	40,733	-4%	45,132	47,149	-4%
Non-GAAP net margin	32.9%	33.9%	-1.1ppt	35.7%	36.7%	-1.0ppt
Non-GAAP EPADS (CNY)	60.83	63.29	-4%	70.26	73.40	-4%

Source: Nomura estimates

Fig. 4: NTES – SOTP model

	Valuation (USD bn)	Stake	Attributable valuation (USD bn)	Valuation methodology	Note
Online games	73	100%	73	17x FY27F P/E (unchanged)	in line with global peers' average
Cloud Music (9899 HK, not rated)	2.3	59%	1.4		In line with the latest market cap for Cloud Music
NetEase Youdao (DAO US, not rated)	2.3	57%	1.3		Based on Youdao's latest market cap
Gross EV			**75**		
Holding discount*			**30%**		
Net EV			**74.6**		
Net Cash			25		
Market cap			**99**		
TP (USD)			**155**		

Note: The holding discount only applies to the Cloud Music and Youdao businesses.
Note: Market cap for Cloud Music and Youdao as of 20 October 2026.
Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
See Disclaimers for Nomura Group entity details.

Analyst Certification

We, Rachel Guo and Jialong Shi, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Issuer Specific Regulatory Disclosures

The terms "Nomura" and "Nomura Group" used herein refer to Nomura Holdings, Inc. and its affiliates and subsidiaries, including Nomura Securities International, Inc. ('NSI') and Instinet, LLC ('ILLC'), U. S. registered broker dealers and members of SIPC.

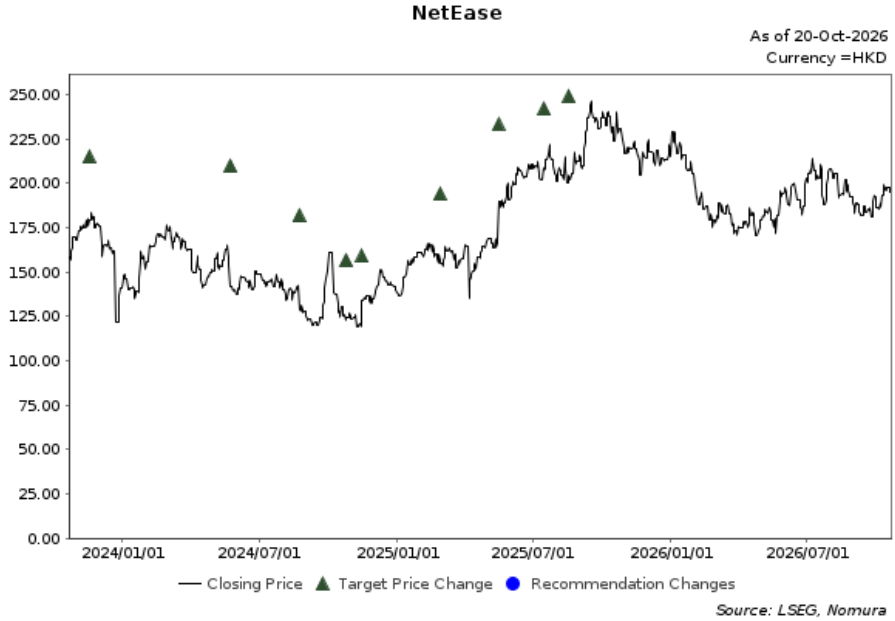
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
NetEase	9999 HK	HKD 195.20	20-Oct-2026	Buy	N/A	A10
NetEase	NTES US	USD 125.11	20-Oct-2026	Buy	N/A	A10

A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.

NetEase (9999 HK) **HKD 195.20 (20-Oct-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



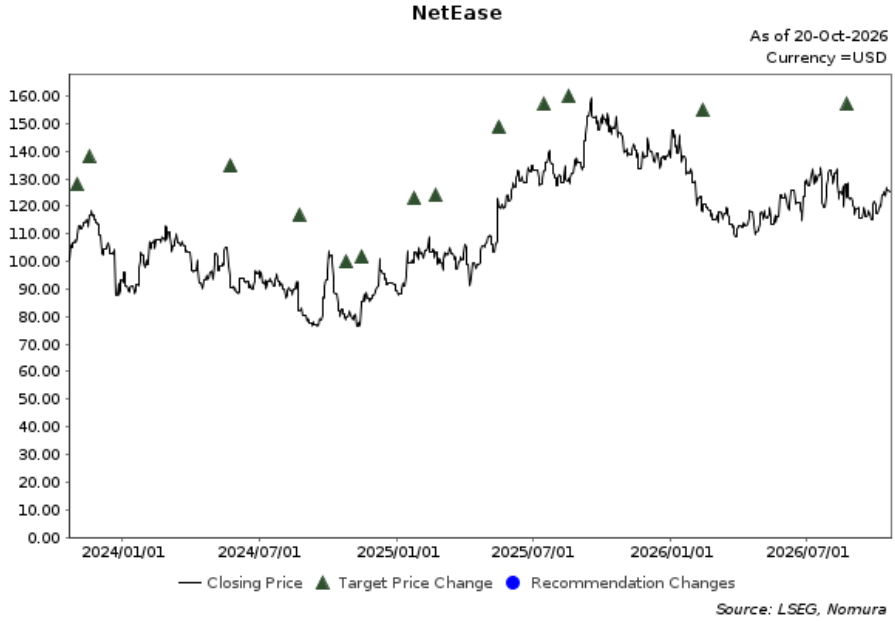
Date	Rating	Target price	Closing price
18-Aug-25		249.00	204.20
16-Jul-25		242.00	206.80
16-May-25		233.00	190.00
27-Feb-25		194.00	156.50
15-Nov-24		159.00	134.00
25-Oct-24		157.00	123.90
23-Aug-24		182.00	128.30
24-May-24		210.00	142.10
17-Nov-23		215.00	179.40

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value the company's online gaming business at US78bn based on 17x FY26F P/E. We value NTES' music business at USD4.2bn based on its latest market cap. The resulting TP is HKD249. The benchmark index for the company is the Hang Seng Index.
Risks that may impede the achievement of the target price Downside risks include: 1) bigger margin contraction from incubated businesses; and 2) lower-than-expected grossing of legacy mobile titles like FWJ.

NetEase (NTES US) **USD 125.11 (20-Oct-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
24-Aug-26		157.00	122.97
12-Feb-26		155.00	118.17
18-Aug-25		160.00	130.30
16-Jul-25		157.00	132.61
16-May-25		149.00	119.58
21-Feb-25		124.00	103.22
24-Jan-25		123.00	103.18
15-Nov-24		102.00	85.49
25-Oct-24		100.00	79.74
23-Aug-24		117.00	82.08
24-May-24		135.00	90.48
17-Nov-23		138.00	117.14
01-Nov-23		128.00	108.35

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value the company's online gaming business at US73bn based on 17x FY27F P/E. We value NTES's music business at USD1.4bn based on its latest market cap. The resulting TP is USD155. The benchmark index for the company is Nasdaq Composite.
Risks that may impede the achievement of the target price Downside risks: 1) bigger margin contraction from incubated business; and 2) lower-than-expected grossing of legacy titles such as FWJ.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.
Important disclosures may be read at http://go.nomuranow.com/research/m/Disclosures or requested from Nomura Securities International, Inc.
If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (NIplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and NIplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Distribution of ratings (Nomura Group)

The distribution of all ratings published by Nomura Group Global Equity Research is as follows:
60% have been assigned a Buy rating which, for purposes of mandatory disclosures, are classified as a Buy rating; 34% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services** by the Nomura Group.
38% have been assigned a Neutral rating which, for purposes of mandatory disclosures, is classified as a Hold rating; 57% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group
2% have been assigned a Reduce rating which, for purposes of mandatory disclosures, are classified as a Sell rating; 17% of companies with this rating are investment banking clients of the Nomura Group*. 0% of companies (which are admitted to trading on a regulated market in the EEA) with this rating were supplied material services by the Nomura Group.
As at 30 September 2026.
**The Nomura Group as defined in the Disclaimer section at the end of this report.*
*** As defined by the EU Market Abuse Regulation*

Definition of Nomura Group's equity research rating system and sectors

The rating system is a relative system, indicating expected performance against a specific benchmark identified for each individual stock, subject to limited management discretion. An analyst's target price is an assessment of the current intrinsic fair value of the stock based on an

appropriate valuation methodology determined by the analyst. Valuation methodologies include, but are not limited to, discounted cash flow analysis, expected return on equity and multiple analysis. Analysts may also indicate expected absolute upside/downside relative to the stated target price, defined as (target price - current price)/current price.

STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan:** please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: http://go.nomuranow.com/research/m/Disclosures; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan:** Russell/Nomura Large Cap.

SECTORS

A **'Bullish'** stance, indicates that the analyst expects the sector to outperform the Benchmark during the next 12 months. A **'Neutral'** stance, indicates that the analyst expects the sector to perform in line with the Benchmark during the next 12 months. A **'Bearish'** stance, indicates that the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States:** S&P 500; **Europe:** Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan:** Sector ratings are not assigned.

Target Price

A Target Price, if discussed, indicates the analyst's forecast for the share price with a 12-month time horizon, reflecting in part the analyst's estimates for the company's earnings. The achievement of any target price may be impeded by general market and macroeconomic trends, and by other risks related to the company or the market, and may not occur if the company's earnings differ from estimates.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('NIplc'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at http://dis.kofia.or.kr, (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia (ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House, Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: U74140MH2007PTC169116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: investorgrievancesra@nomura.com Webpage: LINK

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFRC') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd ("NOI"), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd, and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NIHK under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ('Verdhana') to provide research assistance to NIHK under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice.

Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ('MSCI'). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.

The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFRC") and FTSE Russell ("Russell"). NFRC and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.

Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.

Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such forecasts may not be a reliable indicator of future or likely performance. Moreover, simulations are based on models and simplifying assumptions which may oversimplify and not reflect the future distribution of returns. Any figure, strategy or index created and published for

illustrative purposes within this document is not intended for “use” as a “benchmark” as defined by the European Benchmark Regulation.
Certain securities are subject to fluctuations in exchange rates that could have an adverse effect on the value or price of, or income derived from, the investment.
With respect to Fixed Income Research: Recommendations fall into two categories: tactical, which typically last up to three months; or strategic, which typically last from 6-12 months. However, trade recommendations may be reviewed at any time as circumstances change. ‘Stop loss’ levels for trades are also provided; which, if hit, closes the trade recommendation automatically. Prices and yields shown in recommendations are taken at the time of submission for publication and are based on either indicative Bloomberg, LSEG or Nomura prices and yields at that time. The prices and yields shown are not necessarily those at which the trade recommendation can be implemented.
The securities described herein may not have been registered under the US Securities Act of 1933 (the ‘1933 Act’), and, in such case, may not be offered or sold in the US or to US persons unless they have been registered under the 1933 Act, or except in compliance with an exemption from the registration requirements of the 1933 Act. Unless governing law permits otherwise, any transaction should be executed via a Nomura entity in your home jurisdiction.
This document has been approved for distribution in the UK as investment research by NIplc. NIplc is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. NIplc is a member of the London Stock Exchange. This document does not constitute a personal recommendation within the meaning of applicable regulations in the UK, or take into account the particular investment objectives, financial situations, or needs of individual investors. This document is intended only for investors who are 'eligible counterparties' or 'professional clients' for the purposes of applicable regulations in the UK, and may not, therefore, be redistributed to persons who are 'retail clients' for such purposes.
This document has been approved for distribution in the European Economic Area as investment research by Nomura Financial Products Europe GmbH (“NFPE”). NFPE is a company organized as a limited liability company under German law registered in the Commercial Register of the Court of Frankfurt/Main under HRB 110223. NFPE is authorized and regulated by the German Federal Financial Supervisory Authority (BaFin).
This document has been approved by NIHK, which is regulated by the Hong Kong Securities and Futures Commission, for distribution in Hong Kong by NIHK. This document is intended only for investors who are 'professional investors' for the purposes of applicable regulations in Hong Kong and may not, therefore, be redistributed to persons who are not 'professional investors' for such purposes.
This document has been approved for distribution in Australia by NAL, which is authorized and regulated in Australia by the ASIC.
This document has also been approved for distribution in Malaysia by NSM.
In Singapore, this document has been distributed by NSL, an exempt financial adviser as defined under the Financial Advisers Act (Chapter 110), among other things, and regulated by the Monetary Authority of Singapore. NSL may distribute this document produced by its foreign affiliates pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This document is intended for accredited, expert or institutional investors as defined by the Securities and Futures Act (Chapter 289). Where the recipient of this document is not an accredited, expert or institutional investor, NSL accepts legal responsibility for the contents of this document in respect of such recipient only to the extent required by law. Recipients of this document in Singapore should contact NSL in respect of matters arising from, or in connection with, this document. THIS DOCUMENT IS INTENDED FOR GENERAL CIRCULATION. IT DOES NOT TAKE INTO ACCOUNT THE SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS OF ANY PARTICULAR PERSON. RECIPIENTS SHOULD TAKE INTO ACCOUNT THEIR SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS BEFORE MAKING A COMMITMENT TO PURCHASE ANY SECURITIES, INCLUDING SEEKING ADVICE FROM AN INDEPENDENT FINANCIAL ADVISER REGARDING THE SUITABILITY OF THE INVESTMENT, UNDER A SEPARATE ENGAGEMENT, AS THE RECIPIENT DEEMS FIT.
Unless prohibited by the provisions of Regulation S of the 1933 Act, this material is distributed in the US, by NSI, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934. The entity that prepared this document permits its separately operated affiliates within the Nomura Group to make copies of such documents available to their clients.
This document has not been approved for distribution to persons other than ‘Authorised Persons’, ‘Exempt Persons’ or ‘Institutions’ (as defined by the Capital Markets Authority) in the Kingdom of Saudi Arabia (‘Saudi Arabia’) or a ’Market Counterparty’ or a 'Professional Client' (as defined by the Dubai Financial Services Authority) in the United Arab Emirates (‘UAE’) or a ‘Market Counterparty’ or a ‘Business Customer’ (as defined by the Qatar Financial Centre Regulatory Authority) in the State of Qatar (‘Qatar’) by Nomura Saudi Arabia, NIplc or any other member of the Nomura Group, as the case may be. Neither this document nor any copy thereof may be taken or transmitted or distributed, directly or indirectly, by any person other than those authorised to do so into Saudi Arabia or in the UAE or in Qatar or to any person other than ‘Authorised Persons’, ‘Exempt Persons’ or ‘Institutions’ located in Saudi Arabia or a ’Market Counterparty’ or a 'Professional Client' in the UAE or a ‘Market Counterparty’ or a ‘Business Customer’ in Qatar. Any failure to comply with these restrictions may constitute a violation of the laws of the UAE or Saudi Arabia or Qatar.
For report with reference of TAIWAN public companies or authored by Taiwan based research analyst:
THIS DOCUMENT IS SOLELY FOR REFERENCE ONLY. You should independently evaluate the investment risks and are solely responsible for your investment decisions. NO PORTION OF THE REPORT MAY BE REPRODUCED OR QUOTED BY THE PRESS OR ANY OTHER PERSON WITHOUT WRITTEN AUTHORIZATION FROM NOMURA GROUP. Pursuant to Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers and/or other applicable laws or regulations in Taiwan, you are prohibited to provide the reports to others (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities in connection with the reports which may involve conflicts of interests. INFORMATION ON SECURITIES / INSTRUMENTS NOT EXECUTABLE BY NOMURA INTERNATIONAL (HONG KONG) LTD., TAIPEI BRANCH IS FOR INFORMATIONAL PURPOSES ONLY AND IS NOT BE CONSTRUED AS A RECOMMENDATION OR A SOLICITATION TO TRADE IN SUCH SECURITIES / INSTRUMENTS.
This material may not be distributed in Indonesia or passed on within the territory of the Republic of Indonesia or to persons who are Indonesian citizens (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public

offering under the laws of the Republic of Indonesia.
An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, “Offshore Issuers”) that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard.
NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.
Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:
http://go.nomuranow.com/research/m/Disclosures
Copyright © 2026 Nomura International (Hong Kong) Ltd., Hong Kong. All rights reserved.